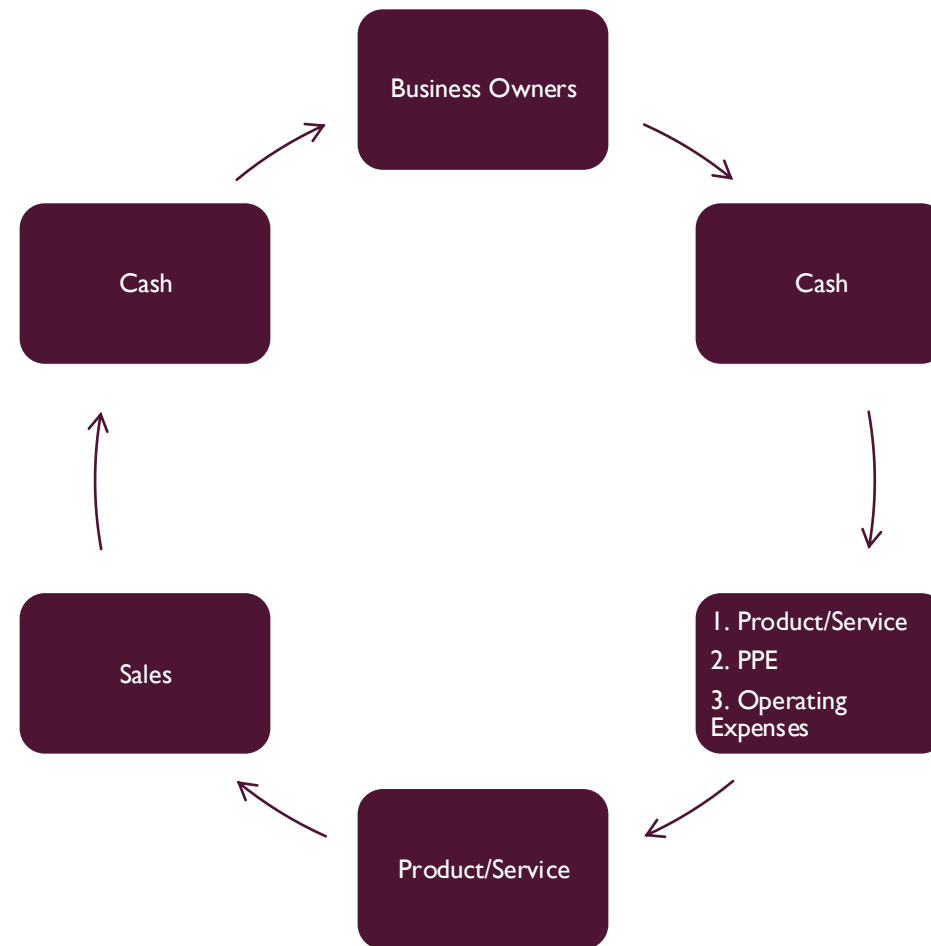

UNDERSTANDING THE LANGUAGE OF BUSINESS

BASIC ACCOUNTING CONCEPTS

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FUNDAMENTAL BUSINESS MODEL



FORMS OF BUSINESS ORGANIZATIONS

SOLE
PROPRIETORSHIP

PARTNERSHIP

CORPORATION

TYPES OF BUSINESSES



MERCHANDISING/ TRADING



MANUFACTURING



SERVICE

ACCOUNTING

- IS A PROCESS OF RECORDING, ORGANIZING, AND UNDERSTANDING THE MONEY GOING IN AND OUT OF A BUSINESS.

5 MAJOR ACCOUNTS IN ACCOUNTING/ ELEMENTS OF FS



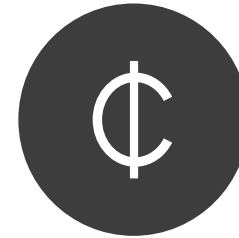
ASSETS



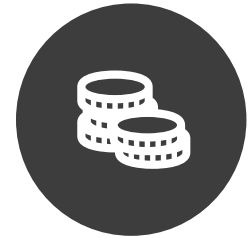
LIABILITIES



EQUITY



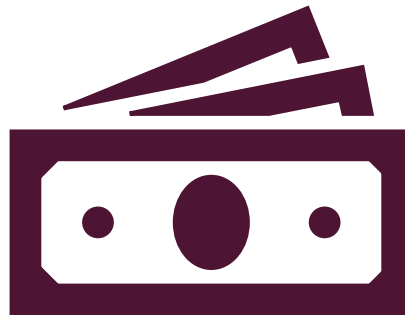
INCOME



EXPENSE

ASSETS

- These are the resources owned and controlled by an entity.
- Types of Assets:
 - Current & Noncurrent
 - Tangible & Intangible



EXAMPLES OF CURRENT ASSETS:

CASH

ACCOUNTS RECEIVABLE

INVENTORY

PREPAID EXPENSES

EXAMPLES OF NONCURRENT ASSETS:

BUILDING

EQUIPMENT

LAND

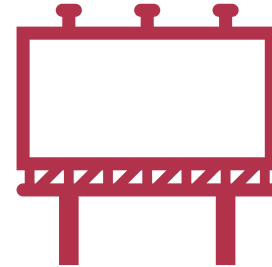
TANGIBLE VS. INTANGIBLE ASSETS



TANGIBLE – assets that you can touch

Computers

Machines



INTANGIBLE – non-physical but valuable

Brand name

Trademarks (logos or slogans)

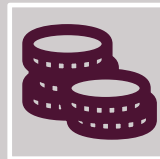
LIABILITIES



These are debts or obligations.



What the business owes.



Types of Liabilities: Current &
Noncurrent

EXAMPLES OF LIABILITIES:

I. CURRENT

1. Debts the business must pay within one year.
2. These are short-term obligations.

Examples:

- Accounts Payable
- Salaries Payable
- Taxes Payable
- Short-term Loans

I. NONCURRENT

1. Debts the business must pay after one year.
2. These are long-term obligations.

Examples:

- Long-term Loans

EQUITY

It is the value that belongs to the owners of the business.



It is the residual interest or the net assets



ACCOUNTING EQUATION:

• $\text{ASSETS} = \text{LIABILITIES} + \text{EQUITY}$



$\text{EQUITY} = \text{ASSETS} - \text{LIABILITIES}$

INCOME

- IT IS THE MONEY A BUSINESS EARNS FROM SELLING PRODUCTS OR SERVICES.
- INFLOW OF MONEY

EXPENSE

- THESE ARE THE COSTS OF RUNNING THE BUSINESS.
- OUTFLOW OF MONEY

RECAP: 5 MAJOR ACCOUNTS IN ACCOUNTING/ ELEMENTS OF FS



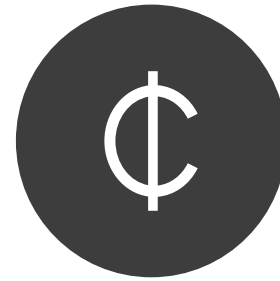
ASSETS



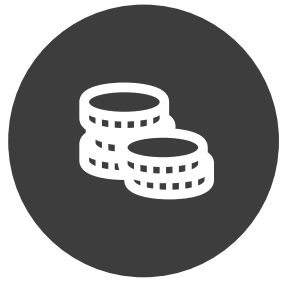
LIABILITIES



EQUITY



INCOME



EXPENSE

FINANCIAL STATEMENTS

STATEMENT OF
FINANCIAL
POSITION

STATEMENT OF
COMPREHENSIVE
INCOME

STATEMENT OF
CASHFLOWS

STATEMENT OF
CHANGES IN
EQUITY

NOTES TO
FINANCIAL
STATEMENTS

ACCOUNTING CYCLE

Identify and analyze transactions and events

Journalizing

Posting to the Ledger

Preparation of Unadjusted Trial Balance

Adjusting entries

Preparation of Adjusted Trial Balance

Preparation of Financial Statements

I. IDENTIFY TRANSACTIONS AND EVENTS

Types of transactions
and events:
**ACCOUNTABLE &
NON-
ACCOUNTABLE**

Only **ACCOUNTABLE**
transactions and events
will be recorded or
journalized.

Non-accountable event
will either be reflected
in the notes to FS or
simply ignored.

EXAMPLE OF ACCOUNTABLE EVENTS

€ Investment

🛒 Sale of goods or services

📦 Purchase of inventory or supplies

💰 Payment of salaries

💰 Borrowing money for business

💰 Paying utility bills

🏠 Buying equipment for the business



**HIRING AN
EMPLOYEE**



**NEGOTIATING A
LOAN**



**CUSTOMER
PROMISES TO BUY
IN THE FUTURE**

**EXAMPLE OF
NON-
ACCOUNTABLE
EVENTS**

CONCEPT OF DEBIT AND CREDIT



DEBIT – value received.



CREDIT – value parted with.

NORMAL SIDE OF ACCOUNTS



DEBIT – ASSETS, EXPENSES &
DRAWINGS



CREDIT – LIABILITIES, EQUITY &
INCOME

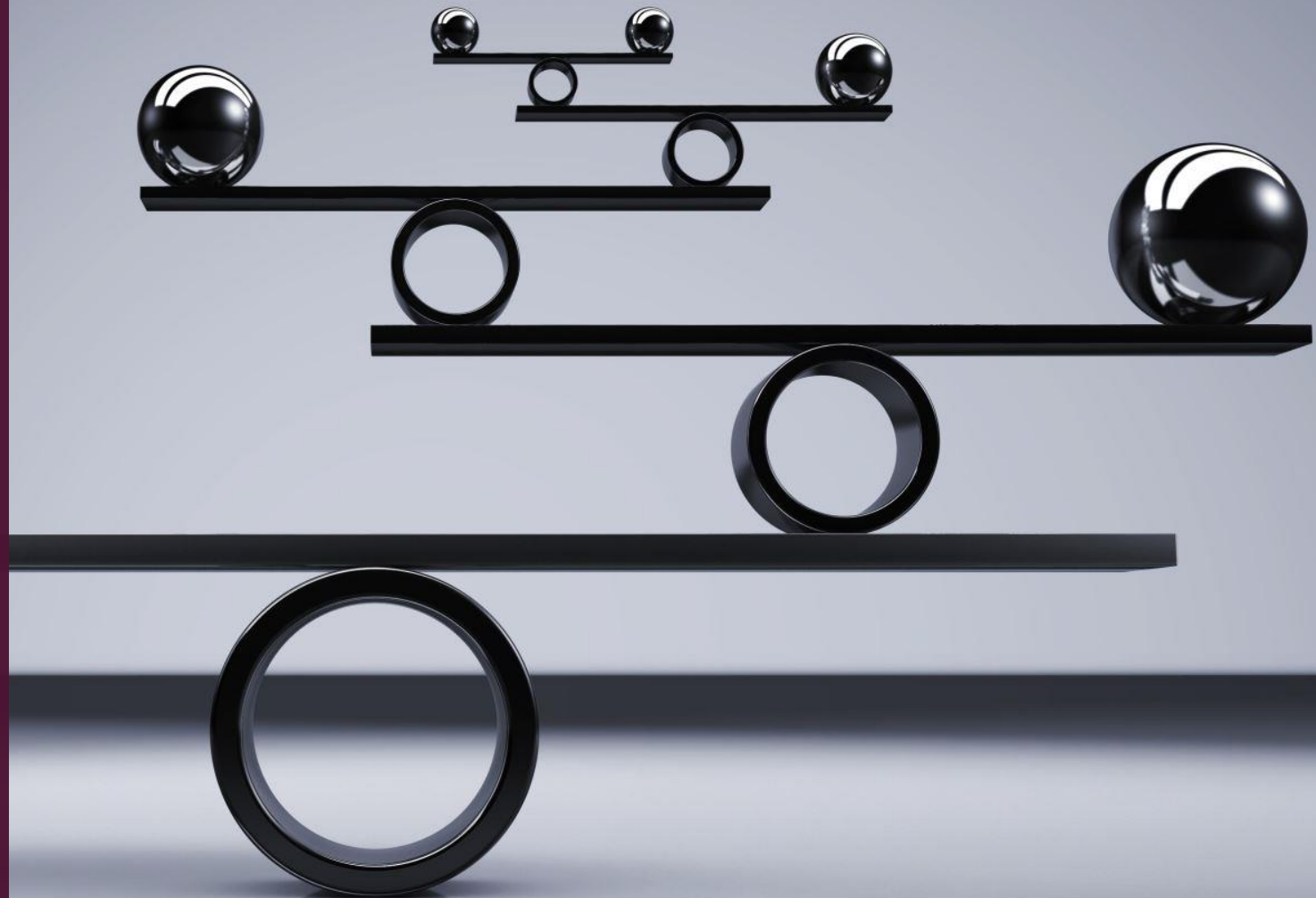
3. POSTING TO THE LEDGER

It is the process of transferring entries from the journal to the ledger.

Each account has their own T-account.

4. PREPARATION OF UNADJUSTED TRIAL BALANCE

- It is used to check if debit and credit is balanced or equal.
- Source of information:
LEDGER



5.ADJUSTMENTS

Adjustments are small changes made at the end of an accounting period to make sure that the accounts show the true and correct amounts.

Adjustments help to ensure that your records are accurate before making financial statements.

6. PREPARATION OF ADJUSTED TRIAL BALANCE

- An adjusted trial balance is a list of all your accounts and their balances after making adjustments at the end of the accounting period.

7. PREPARATION OF FINANCIAL STATEMENTS

- Statement of Financial Position (Balance sheet)
- Statement of Profit or Loss (Income Statement)
- Statement of Cashflows (Inflow & Outflow)
- Statement of Changes in Equity
- Notes to Financial Statements

